Absorbing Transition DID Results: Master Plus — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.035		0.010		0.034
		(0.031)		(0.014)		(0.027)
× Voluntary Rotation		0.002		-0.005		0.002
		(0.009)		(0.006)		(0.008)
Pooled	0.005		-0.003		0.007	
	(0.007)		(0.004)		(0.006)	
Mandatory − Voluntary		0.033		0.015		0.032
Difference p-value		0.303		0.300		0.258
Observations	44,924	39,689	44,924	39,689	44,924	39,689
Firms	5,355	5,025	5,355	5,025	5,355	5,025
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.046		0.015		0.041
		(0.031)		(0.010)		(0.032)
× Voluntary Rotation		0.006		-0.003		0.007
		(0.011)		(0.007)		(0.009)
Pooled	0.010		-0.006		0.016*	
	(0.010)		(0.007)		(0.009)	
Mandatory − Voluntary		0.039		0.018		0.034
Difference p-value		0.233		0.140		0.304
Observations	31,357	29,489	31,357	29,489	31,357	29,489
Firms	3,446	3,412	3,446	3,412	3,446	3,412
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.016		0.015		0.026
		(0.020)		(0.018)		(0.018)
× Voluntary Rotation		-0.003		-0.003		0.002
		(0.005)		(0.004)		(0.005)
Pooled	-0.005		-0.001		0.000	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.019		0.018		0.024
Difference p-value		0.356		0.319		0.205
Observations	47,569	41,792	47,569	41,792	47,569	41,792
Firms	5,618	5,280	5,618	5,280	5,618	5,280
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.018		0.013		0.029*
		(0.020)		(0.017)		(0.018)
× Voluntary Rotation		-0.003		-0.004		0.001
		(0.005)		(0.004)		(0.005)
Pooled	-0.004		-0.001		0.001	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.021		0.017		0.028
Difference p-value		0.301		0.336		0.129
Observations	49,515	43,555	49,515	43,555	49,515	43,555
Firms	5,618	5,320	5,618	5,320	5,618	5,320
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.